CFA Level I Mock Exam 8.1 - Questions

Choose one answer for each question.

Question 1

Which of the following actions are in violation of the Standard relating to market manipulation?

Action 1	Securing a dominant position in a financial instrument with an intent to influence the price of a related derivative.
Action 2	Entering large buy and sell trades between multiple proprietary accounts of the firm with the intent to increase trading volume.

A. Action 1 only

B. Action 2 only

C. Both Action 1 and Action 2

Question 2

Who can claim compliance with the GIPS standards?

A. Firms that manage investment portfolios

B. Investment consultants that only conduct investment manager due diligence

C. Pension plan sponsors that oversee plan funding and do not manage the plan's assets

Question 3

Victoria Christchurch, CFA, is a management consultant currently working with a financial services firm interested in curtailing its high staff turnover, particularly amongst CFA charterholders. In recent months, the company lost five of its ten most senior managers, all of whom have cited systemic unethical business practices as the reason for their leaving. To curtail staff turnover by encouraging ethical behavior, it would be least appropriate for Christchurch to recommend the company to do which of the following?

A. Implement a whistleblowing policy.

B. Encourage staff retention with increased benefits.

C. Create, implement, and monitor a corporate code of ethics.

Question 4

Alexandra Smirnov, CFA, is a pension consultant to the Springwell Pension Fund. After reviewing Springwell's 3- year performance presentation showing the fund's underperformance relative to its investment objectives and agreed benchmarks, Smirnov recommends that the fund hire new asset managers. Smirnov proposes that the fund hire Newday Managers on the basis of recent meetings she has had with the firm. Discussions at these meetings focused only on Newday's investment strategy, its suitability to manage pension funds, its ability to adhere to its stated strategy, the firm's historical investment performance, and its adoption of the CFA Institute Code and Standards. Smirnov turned down Newday's offer of an introduction fee when recommending its services, but did not inform Springwell trustees of this offer. Which of the following Standards does Smirnov most likely violate?

A. Referral Fees

B. Loyalty, Prudence, and Care

C. Diligence and Reasonable Basis

Question 5

Mike Leung, CFA, is a research analyst at an investment firm. Leung does comprehensive analysis and identifies several stocks that are undervalued. Leung posts a recommended stock list on social media which is accessible to all clients, stating that additional information will be available upon request. Has Leung violated the Standards?

A. No

B. Yes, by posting only a recommended stock list

C. Yes, by using social media to communicate his recommendations to clients

Question 6

Colleen O'Neil, CFA, manages a private investment fund with a balanced global investment mandate. Her clients insist that O'Neil's personal investment portfolio replicate the investments within their portfolio to ensure them that she is willing to put her money at risk. By undertaking which of the following simultaneous investment actions for her own portfolio would O'Neil most likely be in violation of Standard VI(B), Priority of Transactions?

A. Sale of a listed US blue chip value stock

B. Participation in a popular frontier market IPO

C. Purchase of a UK government bond in the primary market

Question 7

All clients of John Chapman, CFA, are standard fee-paying clients. Chapman believes that half of his clients would benefit from premium service in exchange for higher fees. He offers the premium service only to these clients. Later that day, Chapman distributes an investment recommendation only to those clients for whom he deems it suitable. Has Chapman violated the Standard relating to fair dealing?

A. No

B. Yes, by offering the premium service only to clients he believes would benefit from it

C. Yes, by distributing an investment recommendation only to those clients for whom he deems it suitable

Question 8

Which of the following can claim compliance with the GIPS standards?

A. Only asset owners

B. Only asset owners and consultants who advise investment funds

C. Asset owners, consultants who advise investment funds, and software vendors

Question 9

A member works in Country X, where the securities market regulator requires investment-related records to be maintained for six years. The member publishes his recommendation for a recent AA bond issue that has a maturity of five years. According to the Standards, the member must maintain records of his recommendation for at least:

A. 5 years.

B. 6 years.

C. 7 years.

Question 10

Milene Fontes, CFA, takes over coverage of a company because the original analyst left the firm before finishing the research report. She adds her own thorough analysis and publishes the report in her name only. Has Fontes violated the Standards?

A. No

B. Yes, by using the original analyst's work in the report

C. Yes, by not attributing the report to the original analyst

Question 11

According to the Standard relating to loyalty, which of the following statements are correct?

Statement 1	Members must not deprive their employer of the advantage of their skills and abilities.
Statement 2	Members are required to subordinate important personal and family obligations to their work.

A. Statement 1 only

B. Statement 2 only

C. Both Statement 1 and Statement 2

Question 12

David Bravoria, CFA, is an independent financial advisor for a high-net-worth client with whom he had not had contact in more than two years. During a recent brief telephone conversation, the client states that he wants to increase his risk exposure. Bravoria subsequently recommends and invests in several high-risk venture capital funds on behalf of the client. Bravoria continues, as he has done in the past, to send to his client monthly, detailed, itemized investment statements. Did Bravoria most likely violate the Standards?

A. No.

B. Yes, with regard to investment statements.

C. Yes, with regard to purchasing venture capital funds.

Question 13

Which of the following are among the recommended procedures that enable members to meet their obligations under the Standard relating to performance presentation?

Procedure 1	Members should include terminated accounts while presenting performance history.
Procedure 2	Members should use a single representative account to present the performance of each investment strategy.

A. Procedure 1 only

B. Procedure 2 only

C. Both Procedure 1 and Procedure 2

Question 14

Julia Otkins, CFA, is approached by her friend who works for a charity that is looking for potential donors. Otkins refuses to share the contact details of current clients and only shares the details of one former client. Otkins later learns that one of her existing clients is involved in illegal money laundering. There are no applicable laws relating to client confidentiality and Otkins reports the client to the regulator. Otkins has most likely violated the Standard relating to confidentiality:

A. only by reporting the client to the regulator.

B. only by sharing the contact details of the former client with the charity.

C. both by reporting the client to the regulator and by sharing the contact details of the former client with the charity.

Question 15

Anjuman Khan, CFA, manages the portfolios of several clients. One client offers Khan monetary compensation and another client gives her two tickets to a sold-out football match in appreciation of significantly beating their portfolio benchmarks. Khan accepts both the monetary compensation and the tickets to the football match. She discloses only the monetary compensation to her supervisor by text over the holiday weekend. Has Khan violated the Standard relating to independence and objectivity?

A. No

B. Yes, because she failed to notify her supervisor of her acceptance of the tickets to the football match

C. Yes, because she failed to get prior approval from her supervisor for accepting the monetary compensation

Question 16

Raymond Ortiz, CFA, provides investment advice to high-net-worth investors. Ortiz has just completed an analysis of Continental Wheat, a manufacturer of wheat-based food products. He rated the company a long-term hold for investors seeking growth and income. Ortiz's analysis included a review of the company's management team, financial data, pro forma financial positions, dividends and dividend policy, and a comparison of Continental with its competitors. Although he does not tell anyone, five years ago, Ortiz worked for and managed the commodities derivatives trading unit of Continental. As part of his compensation at Continental, he received stock, which he still owns. Based upon his research, Ortiz recommends Continental to clients who have a moderate risk tolerance. Two weeks later Continental announces its quarterly earnings are 30% less than a year ago. Consequently, shares of Continental drop by 50%. Ortiz most likely violated the CFA Institute Code of Ethics and Standards of Professional Conduct related to his stock:

A. research.

B. ownership.

C. recommendation.

Question 17

After completing Level I of the CFA exam, Vidhan Raman posts comments on an online forum for CFA Program candidates. Which of the following comments violate the Standard relating to conduct as participants in CFA Institute programs?

Comment 1	This exam was more challenging than I expected.
Comment 2	Make sure you study GIPS standards because there were several questions on that topic.

A. Comment 1 only

B. Comment 2 only

C. Both Comment 1 and Comment 2

Question 18

Do the following actions by a member violate the Standards?

Action 1	Declaring personal bankruptcy because of a large loss from investing in a startup company
Action 2	Providing well-informed investment advice that results in losses to clients

A. No

B. Yes, because of Action 1 only

C. Yes, because of both Action 1 and Action 2

Question 19

According to the Standard relating to responsibilities of supervisors, examining the firm's incentive structure to determine whether the structure encourages profits and returns at the expense of ethically appropriate conduct is the responsibility of:

A. the firm only.

B. the supervisor only.

C. both the firm and the supervisor.

Question 20

Preeta Singh, a CFA Program candidate, is an asset manager employed by a fund management company, which manages very large segregated pension funds. In her spare time outside of working hours, Singh likes to provide strategic planning consulting services to small companies to help grow their businesses. Singh is paid for the consulting services and has also provided her employer information about these outside activities. Has Singh violated the Standards?

A. No

B. Yes, the Standard relating to loyalty

C. Yes, the Standard relating to additional compensation arrangements

Question 21

One of the key challenges to ethical behavior are situational influences, which include:

A. personality traits.

B. cultural elements.

C. intrinsic motivations.

Question 22

Merchant Capital Partners, a regional investment bank, acts as a market maker for Vital Link Health Services and other small firms listed on an over-the-counter exchange. For those shares for whom Merchant acts as market maker, it trades for its own book as well as engaging in risk arbitrage trading. Merchant allows staff members to trade in shares once clients and the company have traded. Merchant recently obtained material nonpublic information regarding Vital's planned reverse takeover of a publicly listed competitor. In order to be in compliance with the CFA Institute Code and Standards, which type of trading in Vital shares should Merchant least likely suspend?

A. Personal

B. Risk arbitrage

C. Passive proprietary

Question 23

According to the Standards, a member who manages an index fund is:

A. only required to invest in a manner consistent with the fund's stated mandate.

B. only required to determine the suitability of the fund for those who invest in the fund.

C. both required to invest in a manner consistent with the fund's stated mandate and to determine the suitability of the fund for those who invest in the fund.

Question 24

According to the Standard relating to referral fees, members should disclose to employers the amount and nature of compensation received at least:

A. monthly.

B. quarterly.

C. annually.

Question 25

According to the GIPS standards, verification is:

A. performed on a firm-wide basis.

B. mandatory once the firm claims compliance.

C. conducted by the firm's compliance department.

Question 26

Can an asset management firm who follows the GIPS standards for only selected performance composites claim that it is compliant with the GIPS standards?

A. No

B. Yes, but only if it uses the return calculation requirements of the GIPS standards for all composites

C. Yes, but only if those composites meet the performance reporting requirements of the GIPS standards

Question 27

Judith Sway has passed the Level I CFA exam. She writes in her resume: "I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry." She adds: "The skills the CFA Program cultivates are key assets for my future career development." Has Sway most likely violated the Standards?

A. No

B. Yes, by stating: "The skills the CFA Program cultivates are key assets for my future career development."

C. Yes, by stating: "I enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry."

Question 28

An analyst gathers the following information about three markets:

	Number of Sellers	Non-Price Competition
Market 1	Many	None
Market 2	Few	Strong
Market 3	Many	Strong

Which market is most likely perfectly competitive?

A. Market 1

B. Market 2

C. Market 3

Question 29

Which of the following statements relating to information asymmetry is most accurate?

A. A company that has a range of complex products has high information asymmetry

B. High levels of institutional ownership in a company leads to high information asymmetry

C. Providers of capital demand lower risk premiums from companies with higher information asymmetry

Question 30

The following selected data are available for a firm:

	$ millions
Net income	90.0
Non-cash charges	15.2
Interest expense	28.0
Capital expenditures	34.3
Working capital expenditures	13.0

If the firm's tax rate is 40%, the free cash flow to the firm (FCFF) is closest to:

A. 57.9.

B. 87.7.

C. 74.7.

Question 31

Which of the following is best described as a means of influencing another country's decisions without force or coercion?

A. Soft power

B. Standardization

C. Regulatory cooperation

Question 32

The arrangement under which a company produces a product using someone else's brand name in return for a royalty best describes:

A. licensing.

B. contract manufacturing.

C. private label manufacturing.

Question 33

In simple linear regression models, the normality assumption requires that the:

A. dependent variable is normally distributed.

B. independent variable is normally distributed.

C. regression residuals are normally distributed.

Question 34

When preparing a common-sized income statement, the appropriate denominator for converting the reported cost of sales is:

A. revenues.

B. net income.

C. pretax income.

Question 35

Under the indirect method, which of the following should be subtracted from net income to arrive at cash flow from operating activities?

A. Purchase of equipment

B. Decrease in accounts payable

C. Amortization expense of intangible assets

Question 36

The lognormal distribution:

A. is unbounded.

B. is asymmetrical.

C. has the same mean as that of its associated normal distribution.

Question 37

Which of the following stakeholders is most likely subject to the greatest level of information asymmetry?

A. Bank lenders

B. Public market debtholders

C. Private market debtholders

Question 38

Credit cycles are most likely:

A. shorter and shallower than business cycles.

B. of equal length and depth as business cycles.

C. longer and deeper than business cycles.

Question 39

If a set of 52 items is sorted in ascending order, the 13th observation is in the second:

A. decile.

B. quintile.

C. quartile.

Question 40

Use of a nonparametric test is most appropriate when the:

A. data are given in ranks.

B. distribution is symmetrical.

C. population variance is unknown.

Question 41

In capital investing, a production-flexibility option allows a company to:

A. reduce supply on lower demand.

B. sequence investments over time.

C. increase prices on excess demand.

Question 42

If a return distribution has frequent small gains and a few extreme losses, the distribution most likely:

A. is mesokurtic.

B. has negative skewness.

C. has a mean greater than its median.

Question 43

A hypothesis test fails to reject a false null hypothesis. This result is best described as a:

A. Type I error.

B. Type II error.

C. test with little power.

Question 44

An analyst gathers the following information (in € millions) about a company's 4-year construction contract:

Contract price	106
Expected total costs	70
Actual costs incurred in Year 1	21
Bonus for on-time completion	8

Costs incurred are an appropriate measure of progress toward completion. The construction company is very experienced with similar contracts. If it is highly probable revenue will not be subsequently reversed, revenue (in € millions) recognized in Year 1 is most likely:

A. 31.8.

B. 33.8.

C. 34.2.

Question 45

If a firm's supply curve equals its long-run marginal cost schedule, the firm most likely operates in a market structure of:

A. oligopoly.

B. monopoly.

C. perfect competition.

Question 46

For a company with taxable income, if interest expense becomes tax deductible, the effective marginal cost of debt:

A. decreases.

B. remains the same.

C. increases.

Question 47

For similar amounts, which of the following actions will have the largest effect on GDP? An increase in:

A. government spending.

B. social transfers to all citizens.

C. social transfers to the poorest citizens.

Question 48

An analyst gathers the following information (in € millions) about three companies:

	Company 1	Company 2	Company 3
Cash and short-term securities	50	60	90
Accounts receivable	30	70	40
Inventory	40	20	60
Current liabilities	60	90	100

The company with the highest quick ratio is:

A. Company 1.

B. Company 2.

C. Company 3.

Question 49

When conducting an executive remuneration policy review, one warning sign that warrants additional scrutiny is most likely:

A. payout provisions linked to strategic milestones.

B. variable payouts over multiple years when company results vary.

C. compensation consisting solely of base salary and cash bonuses.

Question 50

An analyst gathers the following information about a company:

Payables turnover	3
Receivables turnover	6
Inventory turnover	9

The cash conversion cycle based on a 365-day year is closest to:

A. –20 days.

B. 12 days.

C. 30 days.

Question 51

A firm operating in a perfectly competitive market will most likely shut down in the short run when:

A. average total cost is higher than marginal revenue.

B. average fixed cost is higher than average revenue.

C. average variable cost is higher than average revenue.

Question 52

An analyst estimates the following data about a company for the next year:

Inflation rate on the cost of sales	10%
Increase in average selling price per unit	7%
Decrease in volumes sold	3%

If the company's cost of sales is 60% for the current year, the company's projected gross profit margin for next year is closest to:

A. 36.4%.

B. 38.3%.

C. 39.8%.

Question 53

In evaluating portfolio performance, the return measure most affected by an addition of funds to the portfolio just before a market downturn is the:

A. time-weighted return.

B. arithmetic mean return.

C. money-weighted return.

Question 54

With respect to fintech applications, data curation is best described as the process of:

A. ensuring data quality and accuracy.

B. collecting and transforming data into a format that can be used.

C. recording, archiving, and accessing data from the underlying database.

Question 55

With respect to transparency, effective central banks:

A. outline their view on credit conditions.

B. separate control from political influence.

C. determine the definition of inflation that they target.

Question 56

Earthquakes most likely expose a country to:

A. event risk.

B. thematic risk.

C. exogenous risk.

Question 57

A project offers the following incremental after-tax cash flows (CF):

Year	0	1	2	3	4	5	6
Cash flow (€)	−12,500	2,000	4,000	5,000	2,000	1,000	500

The IRR of the project is closest to:

A. 2.5%.

B. 4.4%.

C. 5.5%.

Question 58

An analyst gathers the following information about two companies in the same industry:

	Company 1	Company 2
ROE	12%	18%
Average total assets/Average shareholders' equity	2	3
Revenue/Average total assets	1	2

Based only on this information, Company 2:

A. is less efficient than Company 1.

B. has a higher ROA than Company 1.

C. has a lower net profit margin than Company 1.

Question 59

An asset earns 13.1% over a 16-month period. The asset's annualized compound rate of return is closest to:

A. 9.3%.

B. 9.7%.

C. 9.8%.

Question 60

An investor gathers the following spot exchange rate information:

AUD/CHF	1.4024
USD/CHF	1.0943

AUD/CHF is the amount of AUD per 1 CHF. USD/CHF is the amount of USD per 1 CHF. The AUD/USD spot rate is closest to:

A. 0.7803.

B. 1.2815.

C. 1.5346.

Question 61

An analyst gathers the following information about a company:

Company value ($ billions)	1.5
Value of debt ($ billions)	0.6
Marginal tax rate	30%

Based on Modigliani and Miller's Proposition I with taxes, if the company issues common stock to repay outstanding debt, the value of the unlevered company will be closest to:

A. $0.9 billion.

B. $1.3 billion.

C. $1.5 billion.

Question 62

The following is an excerpt from the note to the financial statements on intangible assets for a company: Intangible Assets (€ millions)

	Licenses	Other	Total
Cost	23,984	1,475	25,459
Accumulated amortization	7,390	1,195	8,585
Net book value, Year 2	16,594	280	16,874
Net book value, Year 1	15,200	480	15,680

As of end of Year 2, licenses with a net book value of €2,530 million have been pledged as security against borrowings. The percentage of intangible assets pledged as security against borrowings in Year 2 is closest to:

A. 9.9%.

B. 15.0%.

C. 15.3%.

Question 63

Which of the following statements is most accurate?

A. Deferred tax assets occur when the tax base of an asset is lower than its carrying amount

B. A company's current tax liability is the amount payable in taxes and is based on current taxable income

C. Deferred tax liabilities occur when regulatory income tax expense is greater than accounting income tax expense

Question 64

Which of the following is a non-probability sampling method?

A. Cluster sampling

B. Convenience sampling

C. Stratified random sampling

Question 65

The central bank of a developing country wants to effectively import the inflation experience of a developed country. The developing country's economy is most likely to experience:

A. more volatile domestic money supply.

B. interest rates similar to those in the United States.

C. economic growth similar to that of the United States.

Question 66

An analyst gathers the following information (in $ millions) about a manufacturing company's finished goods inventory at 31 December of Year 1:

Cost of ending inventory	26
Net realizable value	24

Cost of ending inventory	26
Current replacement cost	22
Normal profit margin	1

If the company reports under US GAAP and uses the FIFO inventory valuation method, the carrying amount (in $ millions) of the ending inventory at 31 December of Year 1 is:

A. 22.

B. 23.

C. 24.

Question 67

A company that reports under IFRS shows internally generated development costs on its balance sheet. Which of the following policies should raise concern when analyzing these costs?

A. Revenue recognition

B. Intangibles capitalization

C. Long-lived asset depreciation

Question 68

In the event that the value of inventory declines below the carrying amount on the balance sheet, the inventory carrying amount must be written down and the reduction in value recognized as a(n):

A. expense on the income statement.

B. decrease in the revaluation surplus account.

C. decrease in the inventory valuation allowance account.

Question 69

In contrast to US GAAP, cash flow statements prepared under IFRS:

A. are less flexible regarding the classification of dividends paid or received.

B. allow interest receipts to be classified as either operating or investing cash flows.

C. require adherence to the direct method format when reporting operating activities.

Question 70

When a company's payables turnover ratio is lower compared to its peers, the company is most likely:

A. utilizing early payment discounts.

B. taking advantage of lenient supplier terms.

C. receiving payments from customers faster than its peers.

Question 71

Which of the following characteristics of a corporation most likely allows it to access capital more easily than other business structures?

A. The existence of a legal identity

B. Taxation of distributions as personal income

C. Separation between ownership and management

Question 72

An analyst gathers the following exchange rate information:

Spot rate	4.6895
1-year forward points	–12.7

The 1-year forward rate is closest to:

A. 4.67680.

B. 4.68823.

C. 4.69077.

Question 73

Companies most likely have the largest proportion of equity in their capital structure in the:

A. start-up stage.

B. growth stage.

C. maturity stage.

Question 74

A company’s capital structure is most likely to deviate from the target capital structure if:

A. flotation costs are low.

B. the company’s debt has no secondary market.

C. management actively pursues short-term market opportunities.

Question 75

An analyst gathers the following information about a company: Source of Capital Target Weight Marginal Cost of Capital Debt 20% 5% Equity 80% 10% If the interest expense is tax deductible and the company’s marginal tax rate is 40%, the company’s WACC is:

A. 8.4%.

B. 8.6%.

C. 9.0%.

Question 76

Under the revaluation model, an initial revaluation that increases the carrying value of land will most likely increase:

A. net income.

B. shareholders’ equity.

C. total asset turnover ratio.

Question 77

Which of the following most likely enforces financial reporting requirements?

A. Regulatory authorities

B. Standard-setting bodies

C. Accounting standards boards

Question 78

A bank has a stated annual interest rate of 7%. If an investor deposits ¥10,000 and earns ¥712.25 in interest over the first year, what frequency of compounding does the bank apply?

A. Quarterly

B. Continuous

C. Semiannual

Question 79

An analyst gathers the following information for a company's fiscal year beginning 1 January:

Net income	$1,800,000
Dividends declared and paid on convertible preferred	$600,000
Weighted average common shares outstanding during the year	200,000
Convertible preferred shares outstanding during the year	50,000

If one preferred share can be converted into four common shares and there are no other potentially dilutive securities outstanding, reported diluted EPS for the year is:

A. $3.00.

B. $4.50.

C. $6.00.

Question 80

With respect to debt securities measured at fair value through other comprehensive income:

A. both interest income and unrealized gains and losses are recognized in other comprehensive income.

B. interest income is recognized in other comprehensive income while unrealized gains and losses are not recognized.

C. interest income is recognized in profit and loss while unrealized gains and losses are recognized in other comprehensive income.

Question 81

If the target used in computing the target semideviation of an asset's returns is set equal to the mean of the asset's returns, the resulting target semideviation will most likely be:

A. less than the sample standard deviation of the asset's returns.

B. the same as the sample standard deviation of the asset's returns.

C. greater than the sample standard deviation of the asset's returns.

Question 82

A company has a financial leverage ratio of 1.5. If an initial revaluation increases the carrying amount of a class of assets, the financial leverage ratio most likely:

A. decreases.

B. remains the same.

C. increases.

Question 83

Which of the following acts as an automatic stabilizer for the economy?

A. A decrease in corporate tax rates

B. New public spending on hospitals

C. Government expenditure on unemployment benefits

Question 84

An analyst gathers the following closing prices of a stock: Date Closing Price ($) 1 January 30 15 January 38 The continuously compounded return for the period 1 January to 15 January is closest to:

A. 7.0%.

B. 23.6%.

C. 26.7%.

Question 85

An analyst gathers the following information (in $ millions) about a company's current fiscal year:

Net income	20
Interest expensed and paid	2
Depreciation expense	4
Taxes paid	6

The interest coverage ratio is:

A. 14.

B. 15.

C. 16.

Question 86

Which of the following best describes a reason a company would acquire the use of equipment through an operating lease?

A. To increase cash from operations

B. To take advantage of less costly financing

C. To obtain preferential tax treatment for the lease payments compared with ownership

Question 87

A characteristic of a dollarized exchange regime is:

A. imposed fiscal discipline.

B. the ability to earn seigniorage profits.

C. that monetary policy can be used as a source of economic stabilization.

Question 88

An analyst gathers the following information about a simple linear regression:

Intercept	1.0
Slope coefficient	1.5
Standard error of the regression	0.5

If the value of the independent variable is 2.0, the value of the dependent variable predicted by the regression is closest to:

A. 3.5.

B. 4.0.

C. 4.5.

Question 89

All else being equal, in periods of decreasing inventory unit costs and constant inventory quantities, using the FIFO inventory valuation method results in:

A. lower gross profit and lower inventory turnover than using the LIFO inventory valuation method.

B. lower gross profit and higher inventory turnover than using the LIFO inventory valuation method.

C. higher gross profit and higher inventory turnover than using the LIFO inventory valuation method.

Question 90

The structural deficit is equal to the budget deficit:

A. adjusted for inflation.

B. that would exist at full employment.

C. excluding the impact of automatic stabilizers.